

PITCH — LGN — VERDICT

PROPOSED — PENDING ADJUDICATION — a minimum starter (0.3–0.5% of book) at \$52.75 or better, hard ceiling \$54.00, no adds until either a sponsor share sale actually prices or the Q3 report lands; red's headline kill was overturned on a document check, but the single fact that would flip this to "no position" is still undisclosed.

What we believe

Legence Corp. (LGN, Nasdaq) is a mechanical, electrical and plumbing contractor — it builds and services the guts of buildings, and increasingly of data centers. Blackstone took it public in September 2025 and still owns about 47%.

Three things we think are true:

1. **The demand is real and undamaged.** Revenue roughly doubled year over year. Backlog is up 104.6%, book-to-bill 1.2x, and data-center work went from 36% to 60% of backlog. Both of our benches — the one arguing for the position and the one arguing against — agree there is no sign of demand deterioration. That was never in dispute.
2. **Profitability is improving, not flat.** Gross margin was roughly unchanged, which looks bad, but for a contractor the leverage shows up below gross margin: adjusted EBITDA margin was 12.2% vs 12.1% a year ago for the quarter, and 11.9% vs 11.1% for the half — 80 basis points of expansion while revenue doubled.
3. **The stock is cheap versus its closest public comparable, and cheap for a reason the market appears to have gotten wrong.** At ~\$52.50 the company is worth about \$6.8 billion including debt and its tax-receivable obligation, against roughly \$575 million of guided full-year adjusted EBITDA — about 11.8x, or 12.5–13.1x if you charge it for every future tax obligation and every genuinely company-paid compensation dollar. EMCOR, the nearest comparable, trades at 16–18x.

The reason that discount looks unearned is the most important sentence in this deck. Nearly half of LGN's reported quarterly adjusted EBITDA (\$73.9M of \$154.6M) is added back as "stock-based and other non-cash compensation." That looks like the classic trick of adding back a real expense. It isn't, and the 10-Q says so: the awards are legacy profit interests held at Blackstone's parent entities, and Note 11 states the *"Management Aggregators are solely responsible for settling these awards and cannot direct Legence Holdings to settle or declare distributions for such purpose."* The offsetting accounting entry is a **capital contribution into LGN's equity**. Legence Corp. pays no cash for this, is contractually barred from paying, and public Class A shares are not diluted by it. Blackstone's carry pool bears it, out of a share block already counted in our share count.

The same note adds that these awards are *remeasured at fair value every period*. The \$52.0M charge in Q2 was struck near the stock's \$107 May high. With the stock down 51%, that expense should mechanically shrink in Q3 without anyone changing any behavior. That is a dated, falsifiable prediction we can grade on 11/13.

What the market believes

The market does **not** believe LGN is a broken business. It believes the earnings quality is bad.

- The stock went from ~\$54 (April sponsor sale) to \$107.24 (May) to ~\$52.50 today. That is a 51% drawdown from the peak in about five weeks — but also a price that is still **94% above the 52-week low of \$26.96**.
- The sell side agrees with us on cheapness, which is important: BTIG cut its price target to \$100 while keeping a Buy, and named **margins** as the reason. A \$100 target implies about 21x on our fully-loaded basis — richer than EMCOR. So “LGN is cheap versus comps” is a consensus view, not our idea.
- The market also knows about the overhang. Blackstone's 50,647,086 shares (46.9%) are disclosed in a public 13G/A. The three monetization events (IPO 9/2025, 12/2025, 4/8/2026) are public. The 17.2%-of-revenue single customer is in the 10-Q that everyone read.

Read plainly: the market's belief is that this is a good business with a big sponsor seller and a compensation structure it does not trust, and it has repriced it accordingly. There is no forced seller and no distressed price — the best-informed seller in the world cleared 15.4 million shares at **\$54.00** on April 8, and the tape today is only ~3% below that print.

Why we might have edge

Not on demand — that's consensus. Not on “cheap vs. EMCOR” — BTIG says the same thing. If we have edge, it is on exactly two narrow, checkable things:

1. **Reading Note 11 correctly when the tape apparently didn't.** The bear case that the market is pricing — a \$230–260M/year real compensation charge — requires the expense to be a company cost. The filing says the parent settles it, the company cannot settle it, and the offset is a capital contribution. Whoever is selling this stock on margin quality is likely capitalizing a charge the public shareholder does not pay. Our own red bench made precisely that error and called it the strongest kill; it took a verbatim document read to overturn it.
2. **Knowing the charge is marked to the share price.** Because the awards are fair-value-remeasured, the peak-price quarter cannot be annualized. Anyone extrapolating \$52M/quarter forward is extrapolating a \$107 stock price. This is a mechanical, dated prediction: Q3's charge should be far smaller.

Secondary, smaller edge: we have sized the tax-receivable obligation correctly. Every time a Blackstone unit converts to a public share, the company incurs new cash tax obligations. That liability went from \$207.4M to \$342.7M in six months, \$143.6M of it conversion-driven, and the remaining 31.2 million units imply roughly \$400M more. Most quick screens count all the future shares but only today's liability. We don't.

Why it might be priced in

Honestly, most of it probably is:

- **The repricing already happened.** A 51% fall in five weeks with a named reason (margins) is the market doing this work, not ignoring it.
- **The cheapness is not a secret.** BTIG's Buy rating and \$100 target say the street already reads 11–12x as a discount. We are not early to the multiple.
- **Every bear fact is a public disclosure.** The customer concentration, the sponsor stake, the goodwill impairment, the guidance arithmetic — all filed, all read.
- **The informed price is right here.** Blackstone cleared at \$54.00 five months ago; the most informed marginal seller's clearing price is 3% above the tape. That is the opposite of a dislocation.
- **This is a widely-followed recent IPO with sell-side coverage,** not an under-covered name. Our usual requirement — that a divergence be genuinely undiscovered — is not met.
- **The “still 94% above the low” fact cuts against us,** though with a caveat our blue bench caught: the \$26.96 low is an early-post-IPO print, not a market-cleared distressed level, so it is a weak support reference in either direction.

The honest version: the only thing plausibly *not* priced is the specific accounting read in Note 11. Everything else is known. That makes this a narrow, single-fact bet dressed up as a growth story.

What could go wrong

This is the pre-mortem. It is written to be wrong about the position, not about the world.

Failure narrative 1 — the accounting fact reverses in substance (most likely). The entire thesis rests on compensation being someone else's cost. But Blackstone's legacy carry pool is finite. When it exhausts, LGN has to retain its own people with its own equity — moving the charge onto LGN's share count and income statement for real. Our blue bench flagged that the 10-Q **does not size the 2025 Omnibus RSU pool at all**. If that pool turns out to carry a \$100M+/year run-rate, the multiple goes from 12x to roughly EMCOR parity and there is no discount left. Blue said this explicitly: an undisclosed pool that large “would flip this to FLAT.” We are buying with the flip variable unresolved. *Tripwire: the Q3 10-Q's equity-compensation note and diluted share count. Monitorable.*

Failure narrative 2 — we bid into the seller (structural / reflexive leg). Blackstone owns 46.9% and has monetized on a roughly 3–4 month cadence (9/2025, 12/2025, 4/2026). No new registration statement is on file as of 9/3/26, and both benches place the next window at or after the Q3 print. Our own rule is *never bid into flow we ourselves predict* — and a starter here does exactly that, knowingly. Every prior window cleared at a discount to the pre-announcement tape; there could be three or four more over 18 months, each capping the stock at the moment our thesis would otherwise be confirmed. Layered on top: the Q4 the company itself guided to is sequentially flat-to-down (see the arithmetic below), so the next two reports offer no obvious catalyst to absorb that supply.

The size leg of this is the one piece of good news. Volume is about **232,500 shares ≈ \$12.2M/day**. Our publishing rule caps us at 1% of daily volume, so every **\$1 million of position notional is 8.2% of one day's dollar volume — eight-plus days to exit at the rail**. At 0.3–0.5% of book we are a rounding error and the liquidity problem is theoretical. It becomes real, and disqualifying, the moment anyone proposes scaling this toward a full 2–3% weight. That is the size discipline this name actually needs, and it is a cap on the *upside*, not just the downside: even if we are right, we cannot own enough of it to matter, which is itself an argument for keeping this at starter and never letting it grow.

Failure narrative 3 — no tripwire exists (the one that should scare us). LGN does not disclose which hyperscaler its 60%-of-backlog data-center work serves, and does not disclose the campuses. One customer went from 5.7% to **17.2% of revenue in a year**. If that customer's board decides to digest capex, re-phase a campus, or bring MEP work in-house, the decision is made in a room we cannot see, on a plane we do not monitor, and we would learn about it two quarters later as a backlog-conversion miss. Both benches tried to check this and both came back **UNCHECKABLE for the same reason**: our satellite and permit detectors need parcel addresses, and LGN works under the *owner's* permits, so nothing attributes to LGN. There is no filing, no permit, no image, no app, no customs record that fires here.

Unknown-unknown class, named: *counterparty-internal decisions on an undisclosed plane* — the risk lives inside a customer's capital-allocation process, and the issuer's disclosure choices (breadth language in the press release, concentration only in the 10-Q footnote) mean we cannot instrument it even in principle. This is not a monitoring gap we can close with more work; it is a structural blind spot of owning a contractor whose customers are anonymous.

If this position loses money, the most likely reason will be that the comparable-company discount was never a discount at all — that 12x was the correct multiple for a sponsor-controlled roll-up whose retention compensation had simply not yet migrated onto its own share count, and we paid for a re-rating that arrived as dilution instead.

What we checked ourselves

Claim	How checked	Found	Confirmed?
<i>Our own thesis</i> : installation segment margin rose to ~16.6% once you adjust for stock comp	Q2 8-K Ex-99.1 segment table (both benches, independently)	The company already publishes an adjusted figure: 16.1% vs 16.2% — down 10bp. Our generator built a private adjustment and landed 50bp above the disclosed number	NO — our own error. The thesis's self-nominated falsifier fired against it
<i>Red bench</i> : flat gross margin proves there is no operating leverage	Same exhibit, one row further down	Adjusted EBITDA margin 12.2% vs 12.1% (quarter), 11.9% vs 11.1% (half). For a contractor, leverage sits in overhead, not gross margin	NO — red misread by stopping one row early. Margin expanded

Claim	How checked	Found	Confirmed?
<i>Red bench</i> : the raised guide implies Q4 adjusted EBITDA of ~\$147M, below Q2's \$154.6M	1H actual \$272.7M; FY midpoint \$575M $\Rightarrow$ 2H \$302.3M; Q3 midpoint \$155M $\Rightarrow$ Q4 \$147.3M	Arithmetic is exact. Revenue math likewise: Q4 implied ~\$1.2B, flat vs Q2	YES on the math; severity reduced. Q4 is the weather/holiday quarter for this industry, and \$1.2B is ~+70% y/y. Neither bench ran the mandatory seasonality check — coverage gap on both sides
<i>Red bench, the “strongest kill”</i> : the \$73.9M comp add-back is a real cost, so strike at 19.6–21.6x vs EMCOR 16–18x; fair value \$24–43	10-Q Note 11, read verbatim	Aggregators are “solely responsible for settling these awards and cannot direct Legence Holdings to settle”; offset is a capital contribution to LGN equity; awards are fair-value remeasured	NO — overturned. Red's argument that the cash is “in the holders' hands, therefore our cost” confuses <i>whose</i> hands. The kill fails
<i>Red bench</i> : that charge annualizes to \$232–263M/year	Note 11 remeasurement language + the tape (–51% from May)	The charge is marked to the share price. Annualizing the peak-price quarter overstates run-rate and also defuses red's own change-my-mind test	NO — red annualized a mark, not a run-rate
<i>Red bench</i> : fair value \$24–33 at 13–15x on his own basis	Recomputed his arithmetic (108.08M sh, net debt \$742.5M, TRA \$342.7M)	13x $\times$ \$312M $\Rightarrow$ \$27.5 ; 15x $\times$ \$343M $\Rightarrow$ \$37.6 . Red's stated \$24 floor is below his own 13x	PARTLY — red's band is ~10% low at both ends. Direction stands, precision doesn't
Tax-receivable obligation grows with every share conversion	10-Q Note 14 + conversion history	\$207.4M $\rightarrow$ \$342.7M in six months, \$143.6M of it conversion-driven (~\$13M per million units); 31.2M units left $\Rightarrow$ ~\$400M more	YES. Costs about 0.7x of multiple. Caveat: the offsetting deferred tax asset was argued but not quantified by blue — the “0.7x” is asserted, not computed
<i>Red bench</i> : omitting the 17.2% customer from the press release is disclosure masking	10-Q Note 3 vs 8-K Ex-99.1	Concentration confirmed verbatim: 17.2% vs 5.7% prior year. But this is a required footnote datum that essentially no earnings release carries	SPLIT — concentration YES (real tail risk), masking NO. Red overreached; it's a hierarchy-of-disclosure question, not a divergent takeaway
The roll-up is writing down its own purchases	10-Q goodwill note	Engineering segment: \$399.0M carrying value, \$69.4M accumulated impairment including \$21.6M this quarter. No headroom disclosed	YES — and this is a consensus concern, not novel
“60% organic growth”	8-K definition + business-combination note	“Organic” is defined as excluding Bowers only. Metrix (\$33.3M) and all	PARTLY. Definition confirmed; the residual

Claim	How checked	Found	Confirmed?
		2025-vintage tuck-ins sit <i>inside</i> the organic line	acquired contribution is not disclosed anywhere
<i>Red bench</i> : being 94% above the low means “round trip, not dislocation”	IPO date + price path (\$54 Apr → \$107 May → \$52 now)	The \$26.96 low is an early-post-IPO print , not a market-cleared distressed level	PARTLY. The “no forced seller” half stands; the framing half is a base-effect error — the exact error red accused our generator of making
Position is exitable	Vendor volume data	232,504 shares ≈ \$12.2M/day — red said 163.6K/\$8.5M	PARTLY — red understated volume by 42%. Still thin. IBKR history bars were permission-denied to both benches; no bar reconstruction was possible
Current price	Pack \$52.77; red \$52.31 (11:09 ET); blue \$52.51	Three vendor reads spanning ~0.9%. Our rule requires a live broker price before any valuation work	NO — vendor-only. Coverage gap
Q3 report date	Pack says 2026-11-13, derived from a data vendor	No company press release names a Q3 2026 date. Q3 2025 landed 2025-11-14	NO — unconfirmed
Size of the company’s own RSU pool (the flip variable)	Blue searched the 10-Q for it	Not disclosed	NO — and neither bench thought to ask until the very end
Sponsor stake and next sale window	13G/A, event date 6/30/26	50,647,086 shares = 46.9% ; no registration statement on file as of 9/3/26; cadence points at/after the Q3 report	YES
IPO date	Cross-read of both benches	Red says 9/15/25, blue says 9/12/25 — three-day discrepancy, unreconciled	NO — immaterial, but it is an unforced inconsistency between our own benches

The pattern worth stating plainly: **our generator’s own falsifier fired against it, and our red bench’s strongest kill was wrong.** Both sides made basis errors of the same kind in opposite directions — the bull invented an adjustment the company had already published, the bear capitalized an expense the company is contractually forbidden to pay. Neither bench ran a mandatory seasonality check. Neither got a live broker price. Neither sized the one number that decides the thesis. This deck should be read as the output of a process that visibly needed both benches to catch the other’s arithmetic.

PROPOSED ENTRY BANDS

All levels below are computed from the benches' own inputs: 108.08M fully-converted shares, net debt \$742.5M, tax-receivable obligation \$342.7M today (plus ~\$400M as remaining units convert), FY26 adjusted EBITDA midpoint \$575M.

Starter — proposed now: - Buy 0.3–0.5% of book (propose 0.4%), limit \$52.75 or better. - Hard ceiling \$54.00 — never pay above it. Blackstone cleared 15.4M shares at exactly \$54.00 on 4/8/26. That is the best-informed seller's clearing price; paying above it is paying more than the person with the most information accepted. - Blue proposed a $\leq$ \$54.00 limit. **This deck proposes tightening it to \$52.75** (at or below the pack tape). Reason: our rule permits paying up to modestly rich prices only when fairness is *verified*, and here fairness is explicitly contingent on one undisclosed number. Contingent fairness gets the minimum size and no pay-up. Flagged for the adjudicator as a deliberate deviation from the blue bench. - Rationale for entering at all rather than waiting: no named kill survived the court. Our standing rule is that a clean court earns a minimum starter, and going flat requires a specific, named reason to lose money — which the benches did not produce.

No adds until one of two things actually happens (not anticipated — happens): 1. A sponsor share sale **prices**, or 2. The Q3 report **lands** and passes the tests below.

Add band 1 — \$45.00 or lower, and only with Q3 confirmation. \$44.78 is 11x on the harshest basis (fully-converted shares, fully-accreted tax obligation, real company-paid comp). Size to 1.0% total. Requires the Q3 compensation charge to have collapsed.

Add band 2 — a priced secondary at or below \$48. Take up to an additional 0.5% at the offering price. A priced deal converts our single largest structural risk (unknown supply) into a known, executed discount and reduces the overhang.

Trims and exits, from the comparable-company math: - \$71–75: trim half. 16x — the low end of EMCOR's range (\$71.38 on the fully-accreted basis, \$75.08 on today's). - **\$82–86: exit fully.** 18x — the top of EMCOR's range. - We explicitly **do not underwrite BTIG's \$100 target**; on our fully-loaded basis that implies ~21x, a premium to EMCOR, and we have no argument for LGN deserving one. - **Tax note:** we hold none of this today, so any exit inside twelve months is taxed at short-term rates. If the stock reaches comp parity quickly, the trim is a short-term gain — factor the after-tax number, not the headline, into the size decision.

Review and close triggers: - Below \$42 (–20%): documented re-court before any further action. - Below \$33 with the Q3 report having failed the compensation test: close and grade. \$33 is the top of red's fair-value band; if the tape gets there while the accounting question is still open, the market has adopted red's basis and we were wrong about the one thing we claimed edge on.

Catalyst dates: - 2026-11-13 — Q3 2026 results. UNCONFIRMED (derived from a data vendor; no company release names it; Q3 2025 landed 2025-11-14). This single event carries all three decisive tests. Roughly 49 trading days out, so it is not imminent and does not gate a starter today. - **The three Q3 tests, agreed by both benches:** (1) Time-Interest compensation expense **below**

\$10M with no new parent-entity distribution; (2) revenue **above \$1.30B** with installation-segment adjusted gross margin **at or above 16.8%**; (3) the company's own RSU pool **disclosed and small** — under roughly \$25M/year of run-rate. - **Next Blackstone sale window: at or after the Q3 report.** No registration statement on file as of 9/3/26. Cadence-derived, therefore unconfirmed. - 2027 annual meeting (new director Robert Crisci's initial term expires) — governance only, not a trading catalyst.

The symmetric alternative, stated fairly: an adjudicator could reasonably decline the starter and simply wait for 11/13, when the one number that decides this thesis gets disclosed. The cost of waiting is only the option value of a ~\$45 entry if the stock falls first. That is a defensible call and this deck does not claim otherwise.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 33.0 (deck-provisional: top of red bench's fair-value band; market has adopted the bear accounting basis - close and grade)
- filing watch: S-1, S-1MEF, 424B4, 424B5 until 2027-03-02 (deck-provisional: Blackstone 46.9% follow-on registration - the predicted supply we are knowingly bidding into; a priced)
- dated pack LGNI2026-11-13: LGN: Q3 2026 results and 10-Q - carries all three decisive tests plus the RSU pool disclosure (date confirmed=False)
- dated pack LGNI2026-11-16: LGN: earliest plausible next Blackstone monetization window (3-4 month cadence, at or after the Q3 print); no registration statement on file

What remains unverified

(Doctrine pass 2026-09-04: resolved items integrated below; every open item carries its estimate; the deck's prose "prediction" in old item 2 is now FROZEN with a probability and a grading pack — see FROZEN PREDICTIONS.)

1. **Omnibus/RSU pool** — OPEN, TIME-GATED (first proxy or S-1 equity note). **Drained today: ZERO plan disclosure exists in the Q2 10-Q (verified by adjudicator grep — no plan adopted at quarterly level).** ESTIMATE: if adopted, 8–10% reserve / 1.5–3%/yr grants (post-IPO norms); **p≈0.30 that grants reach ~\$100M+/yr and flip the name to FLAT** — frozen, graded at pack.
2. **Q3 report date** — vendor-derived, unconfirmed (pack 11/15 carries it).
3. **DTA offset to the TRA** — estimate stands (~0.7x of multiple), unquantified until the 10-K.
4. **2025-vintage acquisition contribution / true organic rate** — 10-Q gap; graded at Q3.
5. **17.2% customer contract structure** — undisclosed; concentration-vs-cliff unresolved.
6. **Data-center end customers/campuses** — undisclosed (satellite/permits uncheckable).
7. **Pre-IPO S-1 items** (distribution history, proceeds) — retrievable, low decision-weight now.
8. **Next sponsor sale timing** — cadence-derived; the no-adds gate exists because of this.

Resolutions integrated (2026-09-04)

Item	Disposition
Aggregator settlement mechanics (the valuation-kill fork)	VERIFIED AT PRIMARY by adjudicator , verbatim 10-Q: aggregators “solely responsible for settling... cannot direct Legence Holdings to settle or declare distributions”; capital contributions
Tape/liquidity (old item 7)	DRAINED via IBKR live : \$52.63 close, RV-30d 71.3%; staging quote verified at instruction time
IPO-date inconsistency (old item 11)	Immaterial; superseded by the April clearing-price anchor both benches accept

PRIZE TABLE + VOL READ (added at doctrine pass, 2026-09-04)

Scenario	p	Path	Price	vs \$52.63
BEAR: omnibus flip (p0.30 est) and/or sponsor S-1 pressure; multiple toward comp-burdened basis	0.30	flip-to-FLAT exit fires	\$42–47	–11 to –20%
BASE: 11.8x holds, Q4-flat guide honored, no plan adopted	0.50	carry + Q3 gate	\$54–60	+3 to +14%
BULL: TI comp collapses per frozen prediction + Q3 >\$1.30B breaks the flat guide	0.20	re-rate toward 14–16x (red’s own \$76-defensible branch)	\$68–76	+29 to +44%

EV ≈ +8% — consistent with minimum-starter sizing. $\sigma_{\text{table}} \approx 18.4\%$ vs implied $\approx 27\%$ (Nov tenor): the market’s distribution is WIDER than ours → per rule 5, stock over long options. **Chain-verified per rule 7**: Nov \$55 call 5.30/8.00 (41% spread, OI = 3 contracts), midpoint IV INVALID; $C_{\text{ours}} \approx \$4.40 < \text{the } \$5.30 \text{ bid}$ → negative edge and untransactable anyway. Nov \$50 put OI = 8, VRP unverifiable → CSP template FAILS. **Stock is the instrument — which is what was staged.** Tax overlay: moot (no option chosen); the staged stock is closeable in-year.

FROZEN PREDICTIONS (registered, Brier-graded at pack LGNI2026-11-15)

- Q3 Time-Interest comp EX-distributions ≤ \$20M** (p 0.65). Basis: Q2 = \$51.98M total of which \$34.7M was Parent-Entity distributions → ex-distribution run-rate $\approx \$17.3\text{M}$ amortizing.
- Any Q3 distribution component > \$0 = sponsor-monetization tell** (conditional flag, not a probability): distributions recur when the sponsor monetizes — if present without a priced S-1, treat as the overhang event arriving early.
- Omnibus flip-to-FLAT: p 0.30** that a plan with $\geq \$100\text{M/yr}$ comp run-rate is disclosed at the first proxy/S-1 — graded there; if it fires, exit the starter per the ruling.

ADJUDICATION STAMP

STARTER 0.4% — 2026-09-04 (FABLE), escalation-verified. Red's valuation kill overturned AND adjudicator-verified verbatim at the 10-Q: Management Aggregators solely settle the Time Interests and "cannot direct Legence Holdings to settle or declare distributions for such purpose" — capital contributions, not issuer cash. ~11.8x vs EMCOR 16–18x = cheapest comp; demand damage absent per both benches. 70sh @ ≤\$52.60 staged (instr 101, cap \$54); NO ADDS until S-1 prices or Q3; flip-to-FLAT if a first proxy discloses ≥\$100M/yr omnibus comp (estimate p0.30, zero plan disclosure in the 10-Q today — verified). Full batch ruling:
desk/data/court_artifacts/CONVEYOR_CLEAR_202609041000.md